RESEARCH PARTNERSHIP PROPOSAL

4G Capital × Underwrite for Collection

Follow the working-capital cycle from funded stock through settled sales, repayment, support and recovery.

4G Capital and IFC portfolio-finance case · Kenya

Nevil Maloba · Research and quantitative finance · 14 October 2026

The trading cycle sets the repayment question

Which financing and support decisions help a viable microbusiness turn stock into settled cash and meet the next cycle’s obligations?

Operating lens

Track order, supplier payment, delivery, sales, cost, repayment, remaining trading cash and renewal.

Research lens

Test timing, support and collection using borrower cash and portfolio outcomes across the facility life.

UPIA and KUZA provide two observable cycles

UPIA

Public description: 30-day unsecured working-capital loan, branch support and training, flexible repayment and loyalty-linked pricing; published amount range KES 5,000–149,999.

KUZA

Public description: 21-day stock credit paid to participating distributors, with partner and product criteria; published amount range KES 5,000–360,000.

Study evidence: signed offer, product charge, draw date, supplier settlement, delivery, actual repayment schedule and amendments.

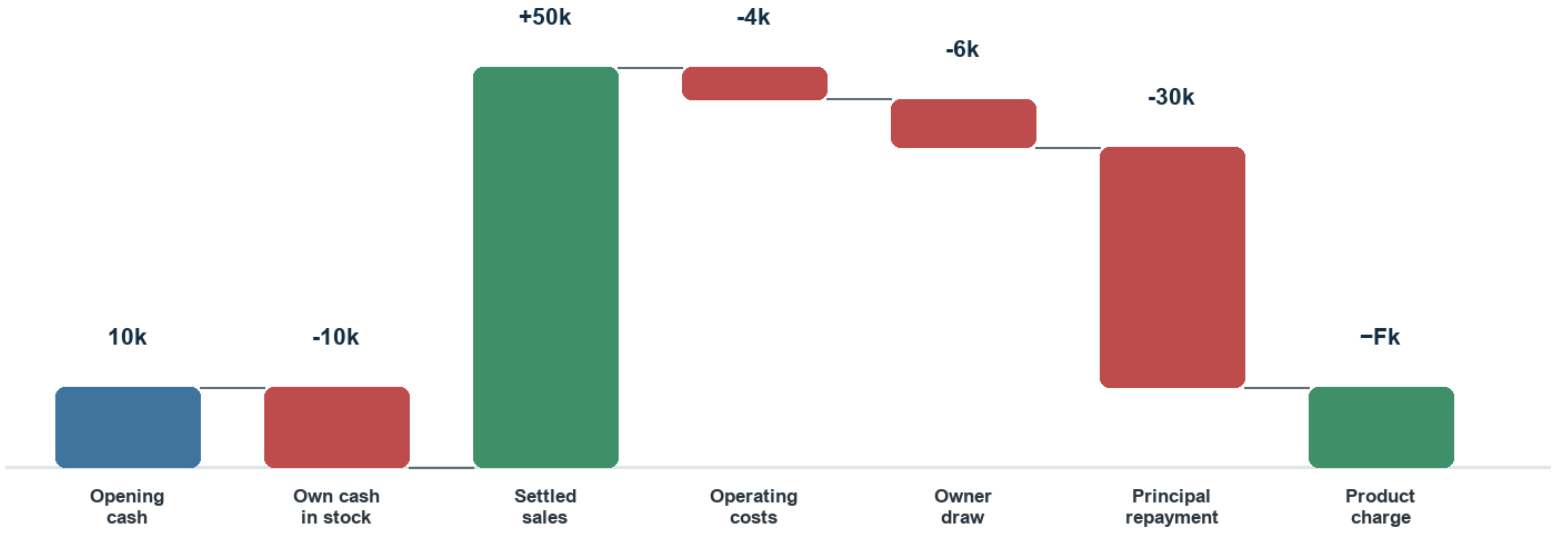
The KES 30,000 advance funds stock before sales settle

A stock-to-cash cycle requires a settled-cash bridge

KES 30,000 facility plus KES 10,000 merchant cash funds KES 40,000 stock; proceeds repay from later settled sales.

Day 0: KES 30k facility is paid directly to distributor; combined with KES 10k merchant cash, it funds KES 40k of stock.

Days 1–21: KES 50k settled sales; KES 4k costs; KES 6k owner draw; KES 30k principal; product charge F.



Closing = 10k − F

Synthetic teaching example from the proposal; product charge F remains symbolic pending executed terms.

Match every payment to a source and event date

Order → credit draw → distributor receipt → delivery → sale → settled receipt → operating outflow → repayment → next-cycle cash

Separate credit from merchant cash; direct-to-supplier funding is not sales revenue.
Match ordered stock to delivered quantity and the merchant's trading record.
Reconcile sales with settled receipts across payment channels.
Deduct operating costs, existing debt and essential working-capital needs.
Track due date, repayment, cure, renewal and the customer's remaining cash.

Underwrite for Collection connects approval to recovery

Before funding

Purpose, entity, cash provenance, stock plan, obligations, affordability and facility structure.

After funding

Delivery, sales, collections, changing capacity, hardship, servicing, restructuring and realised recovery.

The same case identifier should connect evidence, offer, approval, disbursement, servicing events and outcome.

Test support that 4G can operationally deliver

Among eligible customers, compare current support with one specified enhancement: a timed stock-planning or repayment-support intervention.

Measure

Delivery and stock fill; settled sales; repayment timing; cure; cash retained for next-cycle trading.

Balance

Customer cost and complaints; staff workload; repeat borrowing; arrears, recovery and portfolio concentration.

Pre-register eligibility, assignment, customer safeguards, follow-up and analysis before launch.

The IFC guarantee has separate first-loss and pari-passu layers

Public SII describes an unfunded financial guarantee, approved 29 June and signed 30 June 2026; status displayed Pending Disbursement on 14 October 2026.
Eligible portfolio: up to USD 44.4 million equivalent in Kenyan shillings for a new eligible MSME portfolio.
Narrative first-loss amount: up to USD 2.2 million, with IFC up to USD 2.0 million and 4G bearing the balance.
Further USD 42.2 million layer described as pari passu; IFC exposure capped at USD 4.2 million in that layer.
The executed contract controls claims, exclusions, timing, recoveries, fee and currency treatment.

Public mobilization figures describe separate scopes

4G-specific SII narrative

USD 6.2m maximum-risk headline; minimum 21x “core mobilization” objective. The SII defines the label and denominator.

Other disclosed scopes

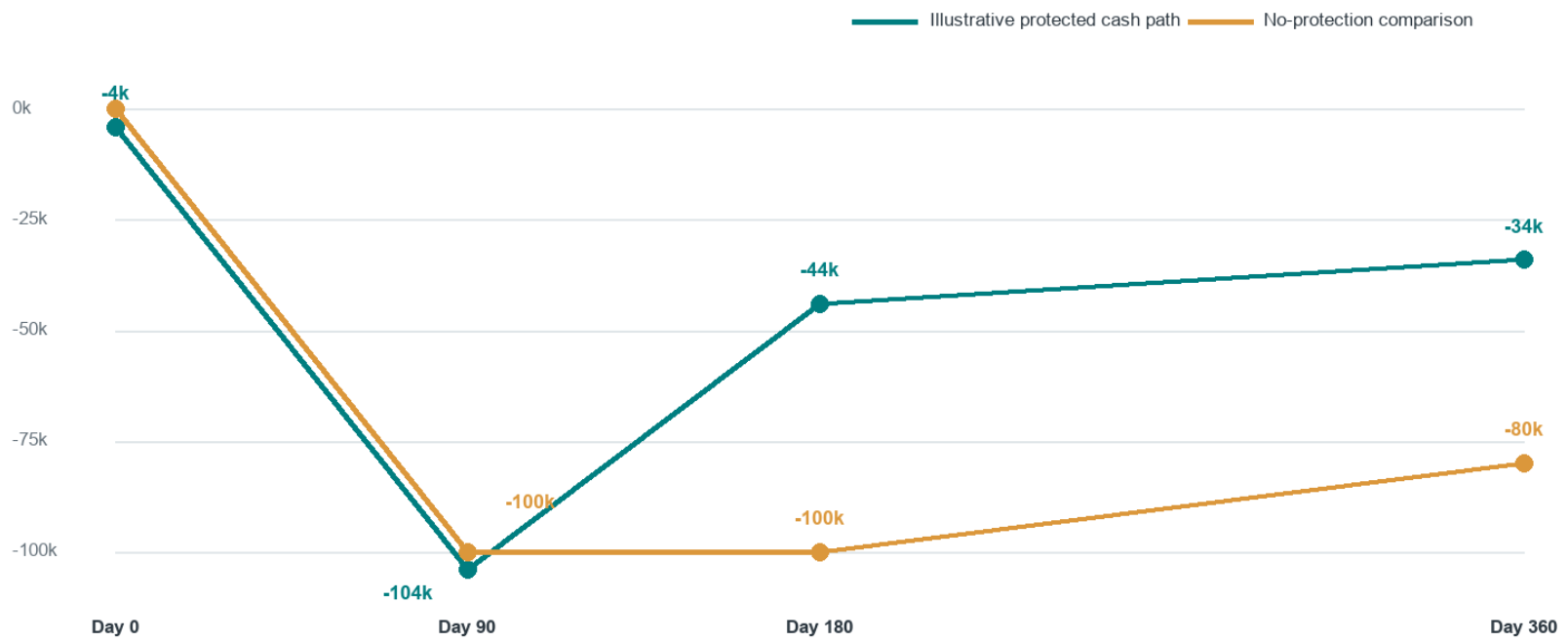
USD 8.20m appears in a separate indicative approval table. 11:1 appears in IFC aggregate target across three transactions.

Record each figure with its source field, scope, status, numerator, denominator and date; do not combine unmatched measures.

The claim arrives after the loss, so liquidity needs its own test

Claim protection and lender liquidity follow different clocks

Synthetic claim illustration: accepted payment is delayed; fees and recoveries affect the net benefit.



Illustrative teaching assumptions only. These amounts are not IFC contract terms or observed 4G results.

Measure borrower, portfolio and guarantee cash on separate ledgers

Credit: cash-flow fit, arrears timing, cure, repeat borrowing and loss severity.
Guarantee: eligible balance, claim trigger, payment delay, fees, caps and post-claim recovery.
Liquidity: peak cumulative funding need before claim settlement.
Profitability: present value under matched protected and unprotected scenarios.
Mobilisation: contractually defined numerator and denominator with attribution evidence.
Borrower: trading cash retained, delivery, repayment fit, complaints and continuity.

Use reconciled event IDs and independent validation of borrower, portfolio and guarantee ledgers.

Agree a bounded evidence-design workshop

Participants

4G product, credit, collections, distributor finance, field support, finance, risk, compliance, data and customer-protection owners; IFC workstream owners as appropriate.

Outputs

Data dictionary and access plan; one product-cycle specification; intervention protocol; IFC claim-data map; outcome measures; decision gates.

Decision requested: identify one product cycle and nominate owners for a feasibility session.

Sources and use note

4G Capital public UPIA and KUZA product material (source URLs are recorded in the article source register).
IFC, Summary of Investment Information, Project SII/53511.
IFC, 4 August 2026 announcement on three Kenyan MSME financing transactions.
Central Bank of Kenya (Non-Deposit Taking Credit Providers) Regulations, 2026, Legal Notice No. 191.
Nevil Maloba, Underwrite for Collection integrated research whitepaper, Zenodo DOI: 10.5281/zenodo.23343888.
All cash and claim examples are synthetic unless expressly described as public disclosure.